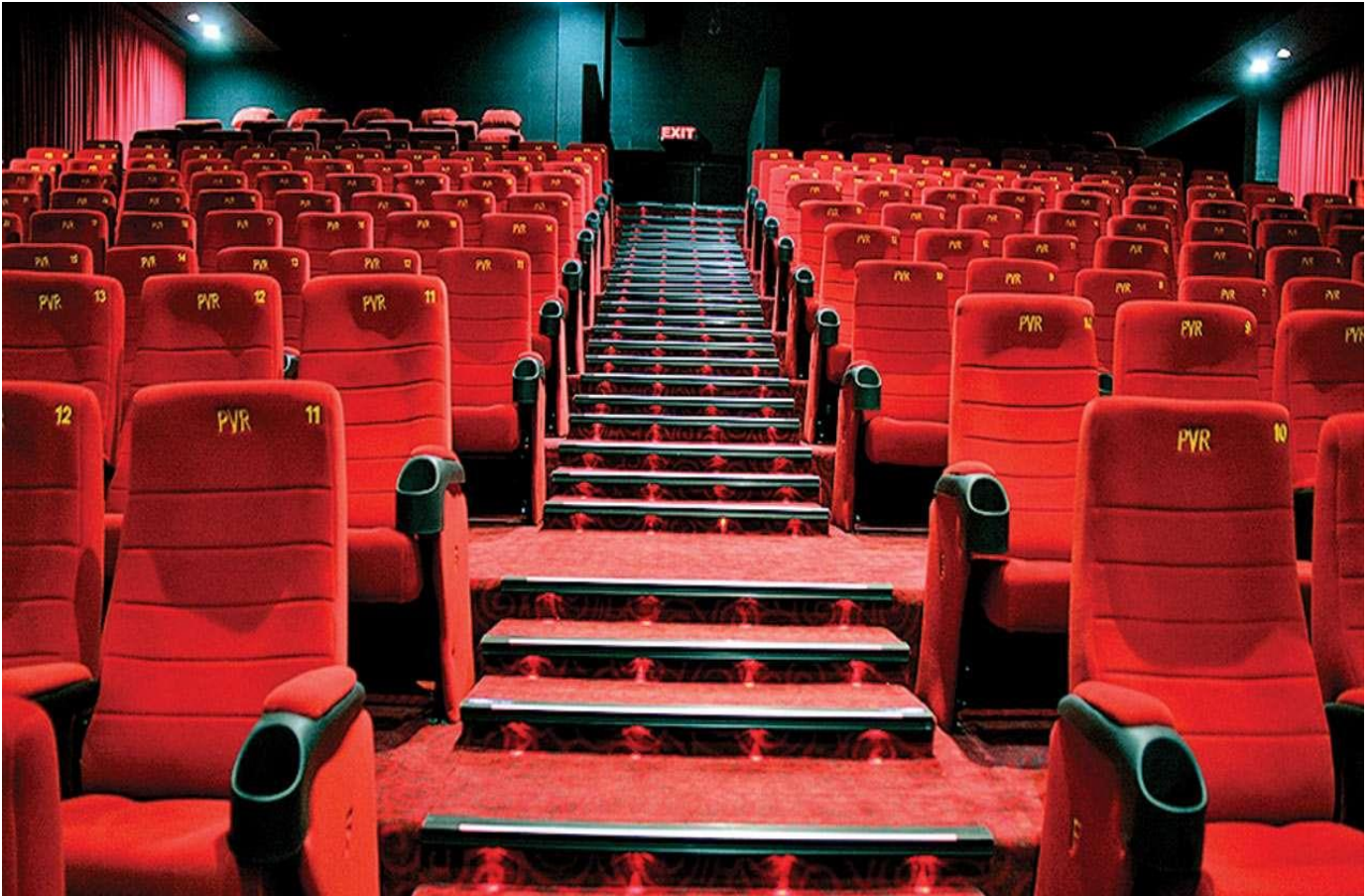




A MOVIE WORTH WAITING FOR

PVR & Inox leisure Initiation Report

Strong exhibition business negatively impacted due to Covid-19 blues are ready to roar back into action. Read further to know the efforts taken by the two for sustenance, survival and to come out stronger in a Post COVID world.

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Summary Table	CMP	Rating	Applied EV/EBITDA Multiple	Target (on FY23 EBITDA)	Upside	Market Cap (INR Mn)	Volumes (BSE+NSE) in 000's
Inox (INOXLEISURE)	290	BUY	9.5x	398	37%	29,839	1813
PVR (PVR)	1,400	BUY	12x	1,804	29%	72,397	2493

Key Investment triggers

Monthly Cash burn reduction: Inox, has reduced their monthly fixed cost to Rs. 120-130mn from Rs. 300-350mn in pre-Covid times whereas PVR has reduced it by 75% to ~ Rs. 350mn. This will release pressure on their cashflows during these hard times

Capital raise: PVR had Rs. 2.27bn of Cash on books (Cash & Bank stood at Rs.3.16bn as of Q4FY20). PVR also raised Rs. 3bn through Rights Issue by offering 38,23,872 equity shares at INR 784 per share on 10/07/2020 (ratio of 7 for every 94 shares). Objects of the rights issue were to repay principal and/or prepay interest to the tune of Rs. 2.34bn and use Rs.725mn towards General Corporate Purposes. **Inox** on the other hand has reduced their monthly cash burn rate to Rs. 120-130mn from Rs. 300-350mn earlier. Furthermore, they have cash and bank balance of Rs. 360mn as of 31st July, 2020 and the company has sold treasury shares worth Rs. 1bn in mid-August. In addition to this, the company has also got final approval from the board to raise another Rs. 2.5bn through equity or any other means favourable to a shareholder if necessary and lastly, they own 6 cinema properties and a head office which at market valuation is Rs. 3.5bn.

Survival of the fittest: Taking a contrary view, COVID-19 pandemic can in fact aid multiplexes as single screen theatres come under financial stress due to inoperability. We believe that multiplexes are much better equipped in the survival of the fittest due to corporatized and professionalized nature of their business and hence access to capital vis-à-vis single screen theatres. Therefore, we believe that we will see the share of multiplex to single screen theatre shift towards multiplexes during the pandemic. For example, Central Plaza – Girgaun (which was a Main Cinema in the pre-Multiplex era) had to shut shop in the COVID pandemic.

Co-existence of OTT and Exhibitors: OTT platforms cannot match the kind of collections that a Box Office release can garner, and an OTT release also caps the revenue for a producer. For example, Gunjan Saxena and Gulabo Sitabo both were released on OTT platforms and garnered INR 60 Cr and INR 65 Cr respectively, however, collections were incomparable to Uri or Kabir Singh which garnered INR 250 Cr and INR 379 respectively. **We believe OTT and Exhibitors to co-exist** with content specifically made for both streams along with sharing of content i.e. in a post Covid world, a movie will have a theatrical release first, followed by either a satellite or OTT platform.

Outlook & Valuation:

We believe both companies have enough capital to survive for the next few months even without revenues coming in and it is only a matter of time before government allows theatres to re-open. This being said, it is prudent to note that currently any guideline on re-opening of theatres, operational timings, seating arrangement and capacity, if the re-opening will take place nationwide or only state-wise (depending on the number of active cases and recovery rates in each state) is currently unknown.



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Currently, on EV/EBITDA basis, **PVR** is trading at 13.3x and 9.6x FY22e and FY23e on an EBITDA of INR 6,201.7 Mn and INR 8,546 Mn, respectively. **We assign an EV/EBITDA multiple of 12x to FY23e EBITDA and arrive at a target price of Rs. 1804 (upside of 29%).**

Inox on EV/EBITDA basis, is trading at 9.8x and 8x FY22e and FY23e EBITDA of INR 6,192.5mn and INR 8,002.4 Mn respectively. **Please note Inox's numbers are on Post IND-AS 116 whereas PVR is on Pre-Ind-AS 116 basis. We value Inox on EV/EBITDA basis, assigning a 9.5x (~14% discount to PVR's multiple on account of higher screen count, and stronghold in South through SPI Cinemas), to FY23e EBITDA and arrive at a target price of Rs. 398 i.e. upside of 37%.**

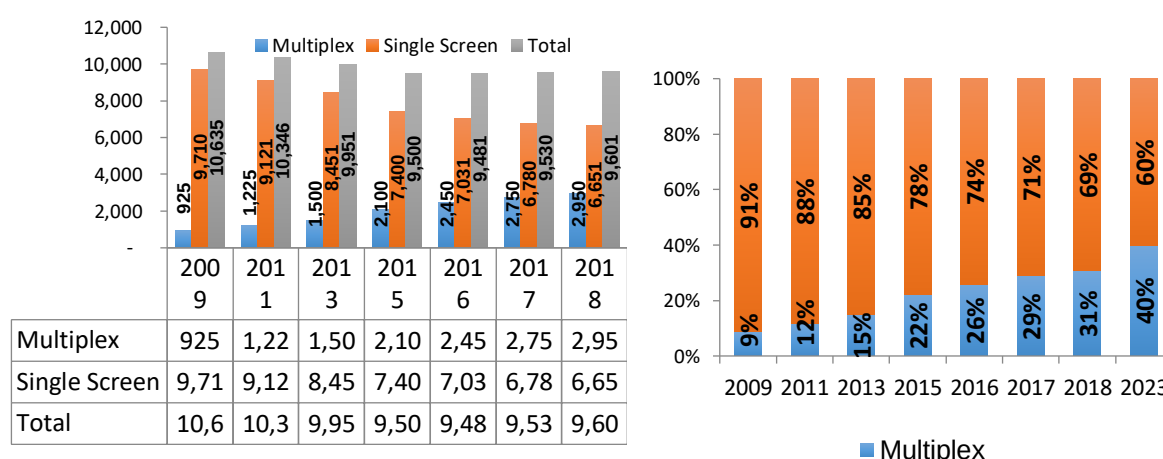
We initiate coverage on PVR and Inox leisure and recommend investors to BUY the stock with a long-term horizon (minimum of 18-24 months) and point out that market and exhibition stocks may display volatility depending on the rise and fall of COVID infections, recoveries, lockdowns etc. However, any sort of big dip in these stocks should be considered as a buying opportunity

PVR Key Financials					
YE March (INR Mn)	FY19	FY20	FY21E	FY22E	FY23E
Net Sales	30,856	34,144	11,075	40,304	52,181
Growth %	32.2%	10.7%	(67.6%)	263.9%	29.5%
EBITDA	5,863	5,762	(2,295)	6,202	8,546
Growth %	45.9%	-1.7%	N.A.	N.A.	37.8%
Net Profit	1,894	1,661	(5,720)	1,637	2,663
Growth %	50.5%	(12.3%)	N.A.	N.A.	62.7%
Diluted EPS	39.3	32.6	(109.5)	32.7	52.6
Growth %	47.3%	-17.1%	N.A.	N.A.	60.6%
No. of Shares	46.7	51.3	51.7	51.7	51.7
YE March (INR Mn)					
EBITDA Margins %	19.0%	16.9%	-20.7%	15.4%	16.4%
EBIT Margins %	12.8%	10.1%	-41.7%	8.6%	8.9%
NPM (%)	6.1%	4.9%	-51.6%	4.1%	5.1%
RoE (%)	15.9%	12.6%	-45.4%	16.8%	21.6%
RoCE (%)	18.0%	12.8%	-18.0%	14.8%	19.6%
BV/Per Share INR	265	272	217	189	238
Valuation Ratios					
P/E(x)	35.6x	43.2x	-12.7x	44.1x	27.1x
EV/EBITDA	13.1x	14.3x	-36.0x	13.3x	9.6x
P/BV(x)	5.3x	5.1x	6.5x	7.4x	5.9x
EV/Sales(x)	2.5x	2.4x	7.5x	2.0x	1.6x
Market Cap./Sales(x)	2.1x	2.1x	6.5x	1.8x	1.4x

Inox Leisure Key Financials					
YE March (INR Mn)	FY19	FY20	FY21E	FY22E	FY23E
Net Sales	16,922	18,974	4,732	20,075	25,546
Growth %	25.5%	12.1%	(75.1%)	324.2%	27.3%
EBITDA	3,083	5,968	445	6,193	8,002
Growth %	45.7%	89.9%	-90.2%	952.6%	28.4%
Net Profit	1,335	150	-2,303	656	1,583
Growth %	16.4%	(88.8%)	N.A.	N.A.	141.4%
Diluted EPS	13.0	1.5	(22.4)	6.4	15.4
Growth %	9.1%	-88.8%	N.A.	N.A.	141.4%
No. of Shares	102.6	102.7	102.7	102.7	102.7
YE March (INR Mn)					
EBITDA Margins %	18.9%	32.1%	12.3%	31.4%	31.7%
EBIT Margins %	13.3%	18.3%	-26.8%	16.4%	18.6%
NPM (%)	7.8%	0.8%	-47.1%	3.2%	6.2%
RoE (%)	13.9%	2.4%	-54.3%	13.4%	24.4%
RoCE (%)	21.9%	47.0%	-22.3%	59.0%	69.1%
BV/Per Share INR	94	61	41	48	63
Valuation Ratios					
P/E(x)	22.3x	198.3x	N.A.	45.4x	18.8x
EV/EBITDA	9.8x	9.6x	133.6x	9.9x	8.1x
P/BV(x)	3.1x	4.8x	7.0x	6.1x	4.6x
EV/Sales(x)	1.8x	3.0x	12.6x	3.0x	2.5x
Market Cap./Sales(x)	1.8x	1.6x	6.3x	1.5x	1.2x

Screen growth ratio shift from single screen to multiplex format

As of FY19, there are 9601 screens in India out of which 2950 are multiplex screens and 6,561 are single screen theatres. While single screen theatres flourished pre-2000 era; Fame Adlabs, Fun Republic and Cinemax were the pioneers of multiplexes in India in the early 2000's. While the total number of screens have fallen from 10,635 in 2009 to 9,601 in FY19, the share of multi-screen theatres has increased from 9% in FY09 to 31% as of FY19.



We believe that various factors led to this change in mix which was favorable towards multi-screen theatres, namely:

- Better parking facilities
- Quality and diversity in F&B
- Better experience in terms of quality of interiors and equipment for audio and visuals
- Attached facilities such as gaming centers, restaurants/food-courts, pubs, shopping, etc. which contribute to the complete 'family outing' experience
- Professional management: while single screen theatres were family managed, multiplexes are usually professionally managed and have better financial and strategic muscle power
- Increase in GDP per capita

Going ahead, we believe that these same factors will drive the growth of multiplexes apart from 2 industry/macro factors which are:

- Increase in screen density – currently India has only 8 screens / Mn population while US, France, Spain, UK and China have 125, 95, 80, 60 and 37. (Source: Inox investor presentation February 2020)
- Shift in income bracket within the population from lower class to lower middle class and middle and affluent class.

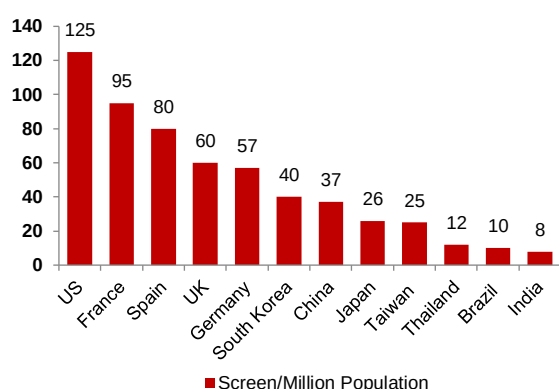


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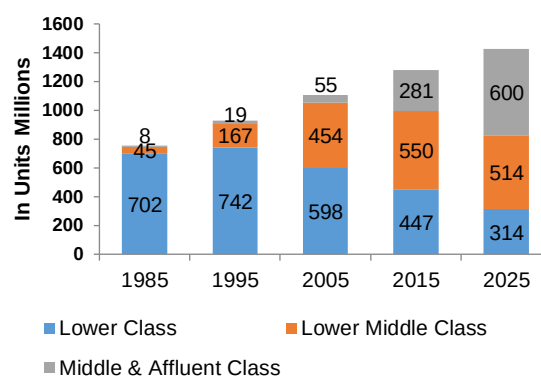
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We believe that both these factors will be a function of GDP per capita. Screens in China grew from 9,000 to 60,000 between 2011 and 2018 and this was mainly due to increase in GDP per capita and the consequent increase in the share of discretionary spend vis-à-vis necessity in the household consumption.

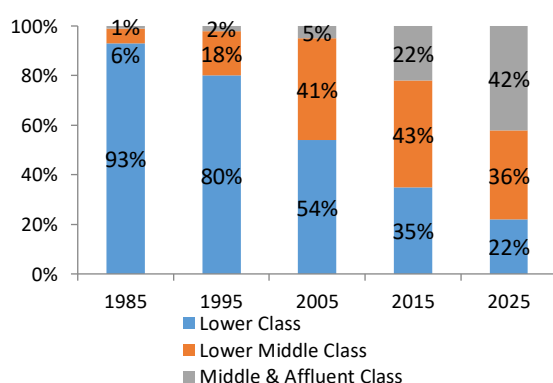
Lowest Screen Density per Million Population...



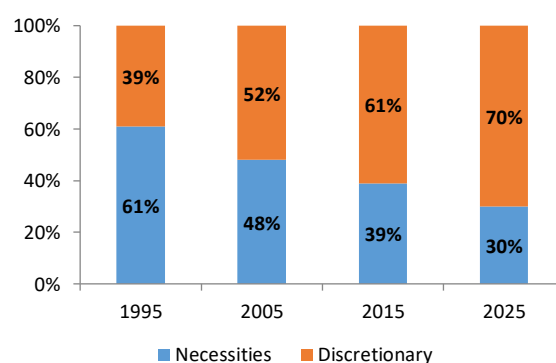
Progress of earners towards higher income brackets by 2025



% of population progressing to higher income brackets...



And change in spending patterns therein...



As per reports and studies¹, India had 93% of its population (or 702 Mn individuals) in the Lower Class (LC), 6% (or 45 Mn) in Lower Middle Class (LMC) and 1% (or 8 Mn) in Middle & Affluent Class (MAC) in 1985. As of 2015, there were 35% or (447 Mn individuals) in LC, 43% (or 550 Mn) in LMS and 22% (or 281 Mn) in MAC.

It is expected that by 2025, 22% (or 314 Mn) will be in LC, 36% (or 514 Mn) in LMS and 42% (or 600 Mn) in MAC. Anecdotal evidence suggests that as GDP per capita increases in a particular economy, the mix in spend between Necessities and Discretionary Items tilts more towards Discretionary spend like Luxury goods and Services. Therefore, while Indians spent 61% of their income on Necessities and 39%

¹ Source: Mckinsey - Tracking the growth of Indias Middle Class – 2017 and Inox Leisure February 2020 Investor Presentation



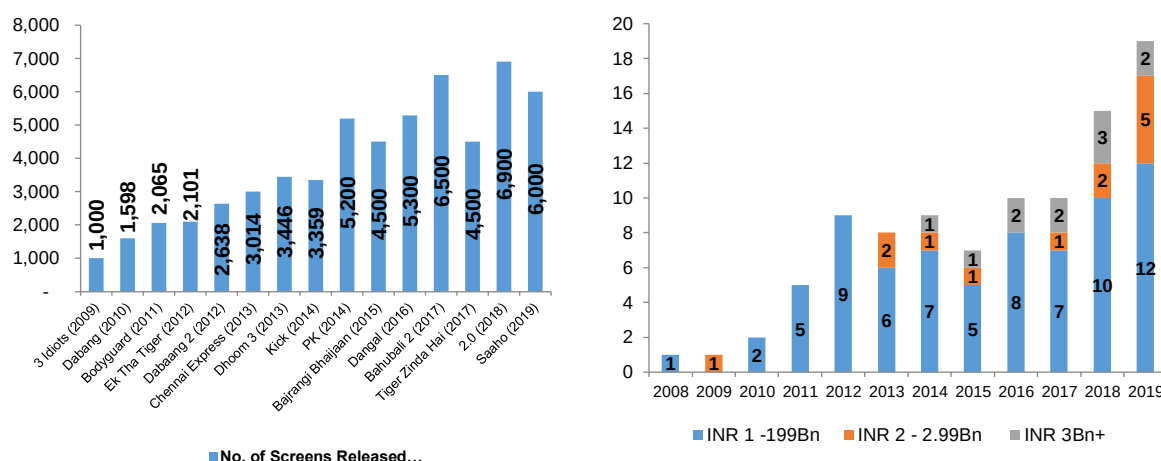
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on Discretionary items in 1995, this mix changed to 39% on necessities and 61% on discretionary in 2015. By 2025, it is believed that spend on Necessities will fall to 30% and on Discretionary it will increase to 70%.

We believe that this shift in demographics and macros and the spending pattern therein will be beneficial for the Cinema industry as multiplexes will have the ability to charge higher prices for tickets (thereby improving ATPs in the longer term).

Wider Screen releases due to technology and penetration of multiplexes in Tier II and III cities to drive Box Office Collections and Theatrical revenues. Digital technology through digitization of content and penetration of multiplexes in tier II and III has enabled faster and wider screen releases. This phenomenon is evident from the following graph depicting number of screens films have released on over the past 10 years:



Box office collections are directly proportional to wider screen releases as evident from the charts above. While 3 Idiots was released on 1,000 screens in 2009, there was only 1 film in the same year that grossed in the range of INR 2 to 2.99 Bn. Saaho, which released on 6,000 screens, that year recorded 12 movies in the +INR 1Bn club, 5 in +INR 2Bn club and 2 in INR 3Bn club.

While the Indian theatrical revenues have grown at 6.9% CAGR between FY15 and FY19 and are estimated to grow at 5.3% CAGR between FY19 and FY24e, **we believe that factors such as an explosion in GDP per capita and higher Tier II and III cities penetration might pose as positive surprises to these estimates.**

Theatrical Revenue Trend...

INR Mn	FY15	FY16	FY17	FY18	FY19	CAGR (%)	FY20e	FY21e	FY22e	FY23e	FY24e	CAGR (%)
Domestic Theatrical Revenue	95.5	100.8	101.4	108.9	124.9	6.9%	132.8	142	147.9	153.6	162	5.3%

Source: KPMG India's Media and Entertainment report 2019



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India is currently at USD 1700-1800 per capita and might be at the cusp of a GDP per capita explosion over the next 5-7 years as anecdotal evidence suggests that GDP per capita for several developing economies has reported a sudden spurt of growth post these levels. If this spurt of GDP per capita does infact materialize, we believe that ATP might have a major positive surprise in store over the next few years. Additionally, penetration of multiplexes into Tier II and Tier III cities due to an increase of audience's propensity to consume content in the local language and ability of regional films to break language barriers (for example Bahubali was originally a Telugu Film but crossed over to several other languages) has provided fodder to footfall growth.

Screen & Property Count

Particulars	FY15	FY16	FY17	FY18	FY19	FY20	FY21e	FY22e	FY23e
Screens									
PVR	464	516	579	625	771	845	885	1005	1150
additions		52	63	46	146	74	40	120	145
Inox	372	420	468	492	583	626	661	725	797
additions		48	48	24	91	43	35	64	72
Properties									
PVR	104	112	126	134	165	176	184	209	240
additions		8	14	8	31	11	8	25	31
Inox	96	107	118	123	141	147	155	171	189
additions		11	11	5	18	6	8	16	18
Cities									
PVR	43	47	50	51	67	71			
additions		4	3	1	16	4			
Inox	52	57	58	61	67	68			
additions		5	1	3	6	1			
Screen per property									
PVR	4	5	5	5	5	5	5	5	5
Inox	4	4	4	4	4	4	4	4	4

PVR is the clear leader by the number of screens with 845 screens as of FY20 while Inox comes 2nd at 626 screens. Though Inox was a market leader in FY12 with 257 screens compared to PVR's 166 screens; PVR overtook Inox with a growth of 22% CAGR between FY12 and 9MFY20 whereas Inox Screens grew at 12% CAGR. As seen in the table above, PVR has added screens faster than its competitor Inox but in terms of **geographical spread** (explained later) there is not much difference. Pre-Covid, both exhibitors had guided to add ~10% of their screens each year. Barring FY21e due to Covid led temporary disruptions, company is confident on maintaining their screen addition guidance for the long term. During Covid-19, it is expected



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that multiplexes will further gain share from single plexes as well as other unlisted multiplexes due to cashflow issues.

Inox in their Q1FY21 presentation, has guided for 41 screen additions in FY21e (86-90% of work is done for most screens as these were planned to be open in FY20 but was delayed due to lockdown). **Additionally, Inox has signed agreements with a further 989 screens, across 142 properties and 1,84,642 seats which will bring their total Post FY21e to 300 properties, 1656 screens and 335,483 seats. This shows the belief the company has in the exhibition business in India.**

Premium Screen Portfolio

PVR Screen Breakup	FY18	FY19	FY20
Gold Class/Luxe	36	35	37
DC	0	0	4
4DX	7	14	18
Playhouse	4	8	13
Imax	7	8	9
P[XL]	4	6	8
Onyx	0	1	1
Sapphire	0	0	4
Total	58	72	94
% of total screens	9.3%	9.3%	11.1%

As of FY20, 11% of PVR's total screens are premium as seen in the table above and this share has increased 140bps since FY19 which indicates that there were more premium screen additions in the current financial year 20. As of FY19, Inox currently has 10 Imax screens and in Q2FY20 launched the world's first 'Megaplex' in InOrbit Mall, Malad, Mumbai. This Megaplex contains 11 screens and 6 experimental formats inside 60,000 sq.ft of total area. **Total Capex done for this property is in the range of Rs. 500-600mn i.e. at the higher end of the range come to Rs. 54.5mn per screen.** This is much more costlier compared to a normal screen where capex involved is in the range of Rs. 25-30mn. A Megaplex greatly differs from a multiplex in the sense that multiplex has multiple screens but Megaplex has different screen formats from IMAX to traditional screens and more. Different formats that are available in this Megaplex are 1 Insignia screen which is the company's 7-star format offering luxurious movie viewing experience, leather recliners, butler on call, laser projection and a dining catalogue serviced by a live Kitchen.

Kiddies: Format specially designed for kids with bright and vibrant seating and interiors along with a lobby

ScreenX: world's first multi-projection technology offering a 270-degree panoramic viewing experience with projection on 3 walls of the auditorium.

MX4D: offers immersive environment where viewers feel and experience what is happening on the screen with help from 14 built in motions and effects programmed in the seats and theatre walls.



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IMAX: offers 40% larger image, a dual projection system and highest quality 3D.

Samsung Onyx LED: world's first cinema LED technology, with 10x brighter visuals and JBL's surround sound.

Dolby ATMOS sound and laser projection in the mainstream auditoriums that complete the cinematic offering.

Ticket prices in this megaplex ranges from Rs. 150-1000 depending on the screen format the viewer chooses, and the company exhibits about 60 shows a day.

Company has planned to add another such Megaplex in Lucknow, which is currently under construction. Furthermore, Inox in their existing properties, as part of refurbishments will change traditional screens to Samsung Onyx LED, IMAX or any other premium type wherever possible. Addition of premium screens in the future will bode well as it will further improve key metrics such as Average Ticket Price (ATP), Footfalls and Spend Per Head (SPH).

Geographical Breakup and Inorganic Route has driven screen growth

In the recent past, both companies have acquired local players to strengthen their position in existing geographies as well as enter new states. This is more evident in their screen geographical breakup.

Particulars	FY15	FY16	FY17	FY18	FY19	FY20
PVR						
North	140	159	194	203	230	254
additions		19	35	9	27	24
South	105	125	125	155	258	286
additions		20	0	30	103	28
East	15	18	22	22	30	47
additions		3	4	0	8	17
West	204	214	238	245	253	258
additions		10	24	7	8	5
Total	464	516	579	625	771	845
Inox Leisure						
North	82	86	94	102	123	149
additions		4	8	8	21	26
South	89	95	100	99	126	138
additions		6	5	-1	27	12
East	67	69	72	72	87	87
additions		2	3	0	15	0
West	134	170	202	219	247	252
additions		36	32	17	28	5
Total	372	420	468	492	583	626

In **PVR**, as seen there is a big jump in screen additions in the south region in FY19. In August 2018 (Q2FY19), the company acquired 71.6% stake in SPI Cinemas during which time they had 76 screens across 17 properties primarily in the South region. They had 10 brands namely, Sathyam, Escape, Palazzo, The Cinema and S2 Cinema. The deal amount was all cash Rs. 6.33bn.

In June 2016, **PVR** acquired **DT cinemas** from realty major DLF for Rs. 4.33bn. During the time of deal, DT cinemas had a total screen of 39 across **NCR and Chandigarh region**. PVR acquired 32 screens from them.



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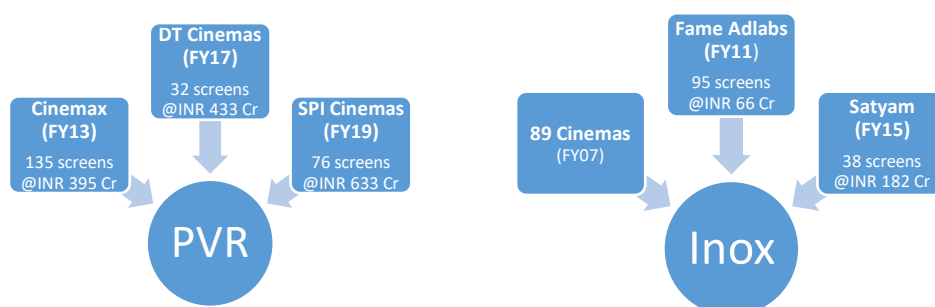
In 2013, **PVR** acquired 69.27% stake in **Cinemax** for Rs. 3.95bn. At the time of acquisition, **PVR** acquired **138 screens** which put him as the player with the highest number of screens in the country.

Inox has also strengthened its position through acquisitions over the years. In 2007, the company acquired **Calcutta Cine** which operated **89 screens** at the time of acquisition and gave access to West Bengal and Assam markets.

From 2010-2013 after a hard battle against Reliance MediaWorks' Big Cinemas, **Inox** acquired **43.28% stake** in **Srinagar Cinemas Ltd** which operates **Fame Cinemas** for Rs. 66.48 crores. The company acquired **95 screens** from Fame which strengthened their position in key states such as Maharashtra.

In 2014, **Inox** acquired **100% stake** in **Satyam Cineplexes** for Rs. 1.82bn and **38 screens** in total primarily situated in Delhi, Gurgaon, Greater Noida and Faridabad. Prior to the acquisition only PVR was present in the Indian Capital.

PVR acquired **Cinemax**, **DT Cinemas (Delhi NCR Region)** and **SPI Cinemas (South India based)** at **INR 2.93 Cr/screen**, **INR 13.53 Cr/screen** and **INR 8.32/screen** respectively, whereas **Inox** acquired **Fame Adlabs** and **Satyam Cinemas** at **INR 0.69 Cr/screen** and **INR 4.82 Cr/screen** respectively.



PVR's acquisition of SPI Cinemas seems to be a solid value-add as occupancy rate of SPI cinemas (57%) is not only higher than PVR consol but higher than other theatres in the south as well.

SPI acquired at EBITDA of INR 1.62 Cr/screen

PVR's acquisitions were highly strategic in nature as it mainly focused on acquiring market leaders whereas Inox used acquisitions as a mode of entry into newer markets. For example, PVR's acquisition of Cinemax consolidated its position in West India and through acquisition of DT Cinemas and SPI Cinemas, PVR consolidated its position in Delhi NCR and South India respectively.

Loyalty Program can do a "Jet Miles" in the movie exhibition industry

During FY20, **PVR** launched its loyalty program wherein 5% of amount spent are credits rewarded to the customer. Once 50 points are collected, one can start redeeming against movie tickets and F&B. As of Q3FY20, membership base crossed 1 crore mark versus 45 lacs in the previous year. We believe that PVR's loyalty program can be a huge success (similar to JetMiles) given the exhibitor's leadership status and brand recall.



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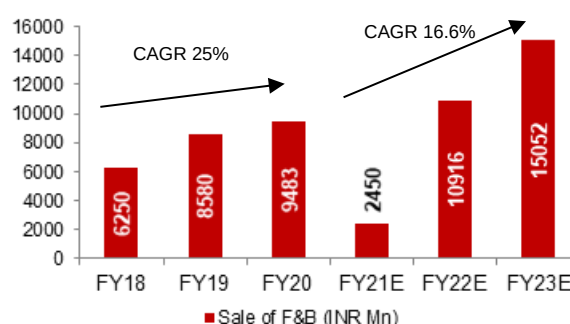
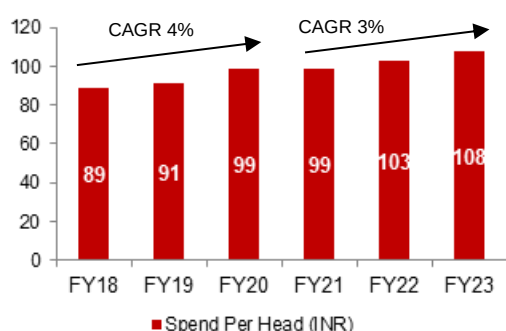
Inox Launched its own rewards program titled “Inox Rewards” in FY20 which consisted of 3 membership levels which were Blue, Gold and Black Categories. The way it works is that, people would get up to 5% of the ticket price and up to 10% of the F&B purchase depending on their membership level along with access to the Insignia 7-star lounge.

While membership to the loyalty program is free of charge (and therefore no source of upfront revenue), we believe that it will successfully provide impetus to:

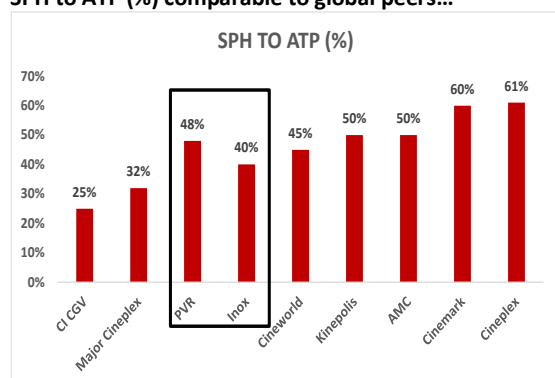
- **Footfalls:** Loyalty programs drive brand recall and ensure a strong churn rate or higher footfalls in this case. For example, JetMiles managed to create strong loyalty towards Jet Airways in its hey days as individuals would collect ‘JetMiles’ by spending on their Credit/Debit Card and redeem these miles against flights.
- **Advertising Revenue:** A strong loyalty program translates into loads of usable customer data. Data such as Age, Sex, Taste (through genre of movies booked), Spending patterns, frequency and mode, Location, etc. could be used by PVR to monetize by selling it to advertisers. Advertisers could then utilize this data to create a more precise and apt ad content and distribution.

F&B has been a differentiator and a key propelling force in driving topline growth and margin expansion for PVR & Inox

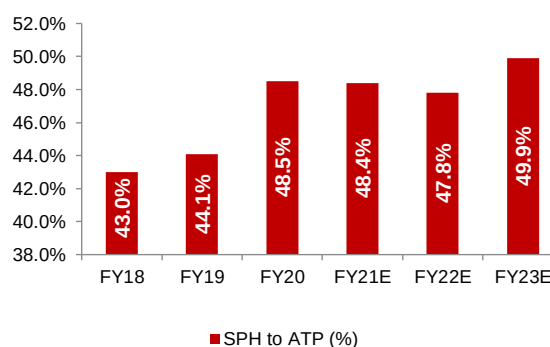
PVR



SPH to ATP (%) comparable to global peers...



SPH to ATP (%) of PVR...



PVR's F&B Sales (top right chart) and Spend Per Head (SPH) (top left chart) have grown at a CAGR of 25% and 4% between FY18 and FY20 respectively. Additionally, the SPH to ATP ratio has shown a healthy increase from 36% in FY15 to 48.5% as of FY20. Notably, F&B is a high margin business with Gross Margins as high as 72.6% as of Q4FY20.

More importantly, **PVR's SPH to ATP ratio** at 48.5% (as of FY20) comes in the Top 5 global peers (bottom left chart). Notably, top global peers are from countries such as Canada (Cineplex), America (Cinemark and AMC), Belgium (Kinopolis) and UK (Cineworld) – which are comparatively very high GDP per capita economies.

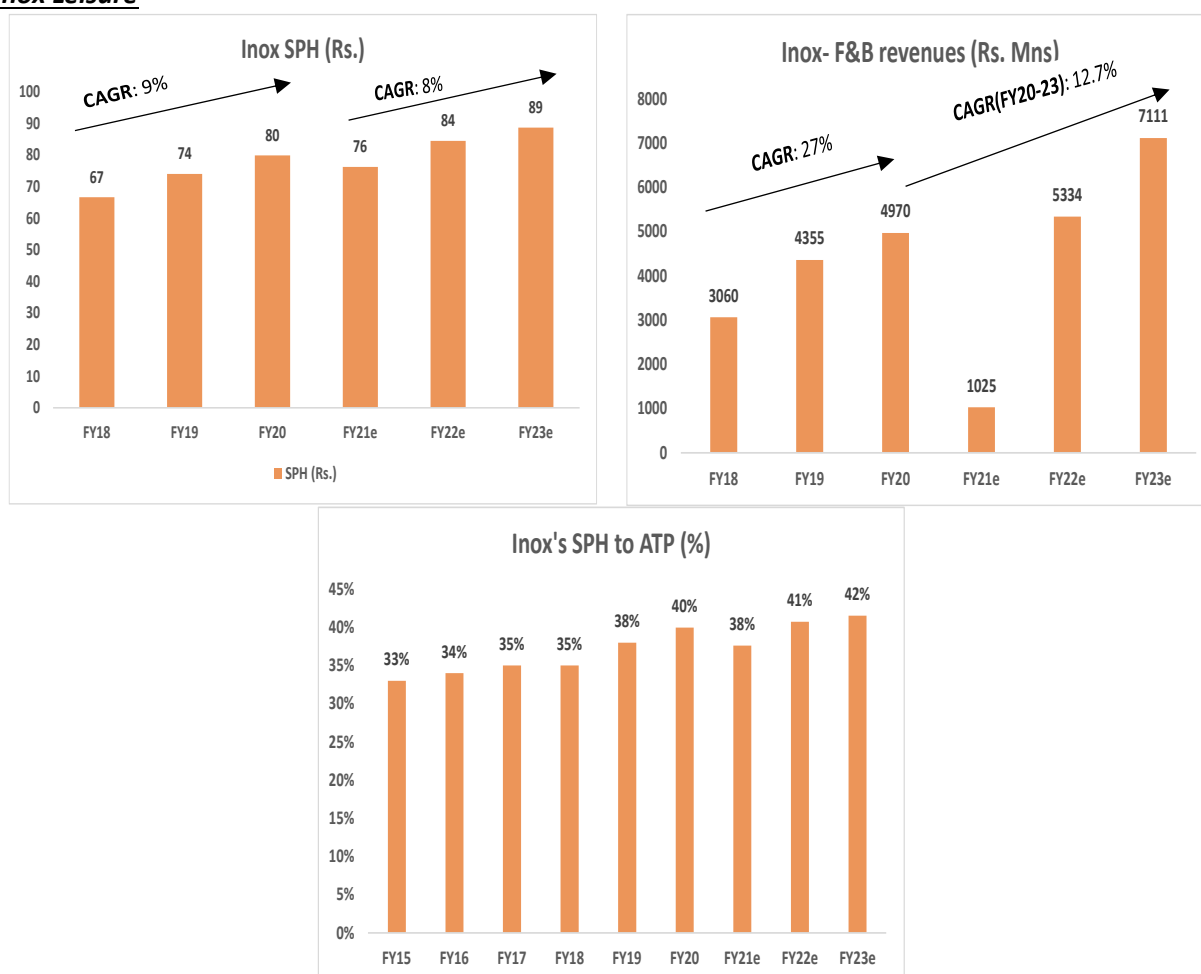
We expect FY21e to be a completely washout and a “blip” year as cinemas were shut in H1FY21. We have assumed that Cinemas will re-open from Q3FY21 onwards with capacity restrictions and vaccines to be commercially rolled out by Q4FY21e. In line with our assumptions:

- We expect footfalls to grow from 76 Mn in FY18 to 147 Mn in FY23e at a CAGR of 13%
- ATP to increase at a CAGR of 2.7% between FY20 and FY23e from INR 205 to INR 216

- Occupancy rate to return to dip to 7% in FY21e, bounce-back to 30% in FY22e and return to normalcy to 34% in FY23e
- Ticket Sales to grow at CAGR of 15.7% between FY20 and FY23e

We believe that FY22e will serve as the bounce-back year and the year of “revenge-buying” wherein individuals and families will flood the theatres due to pent-up demand from the lockdowns. However, occupancy will still be lower than normal (30%) in FY22e as people will very slowly return to theatres. Expect footfalls and occupancy to revert to normalcy or pre-COVID levels.

Inox Leisure



Food & Beverages was the fastest growing segment for Inox as seen in the chart on the right, with a CAGR of 27% between FY18-20. Company also witnessed a 9% CAGR between FY18-20 in Spend Per Head (SPH) from Rs. 67 in FY18 to Rs. 80 in FY20.

There is a dip in SPH and F&B revenues in FY21e, primarily due to the shutdowns but we believe even when theatres are allowed re-open, people would still be mindful about their food choices and thus



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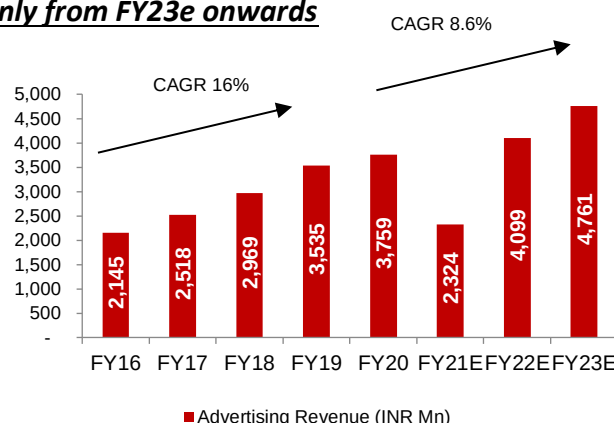
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spending would be curtailed. As mentioned earlier, in the proposal that Multiplex association of India presented to the government, both the companies have introduced truncated menu mostly consisting of food items are either ready to eat or packaged and which involves minimum human contact.

Going forward, we believe there will be a sharp jump in spending once a vaccine is successfully developed and has been distributed globally as it would lead to a reduction in fear psychosis of consumers. Eating food whilst watching entertaining movies or shows is a force of habit may it be in theatres or at home on OTT platforms and thus also becomes a primary reason of support for future growth in SPH and subsequently Food & Beverages revenues.

SPH to ATP (%) for Inox and PVR stands at 40% & 48.5% in FY20, which is among the highest globally. PVR is among the top 5 in the world after Cineplex, Cinemark, AMC and Kinepolis.

33% in-cinema advertising market share (PVR), highest footfalls and marquee properties had ensured strong ad revenue growth in the pre-COVID era. Expect similar growth momentum only from FY23e onwards



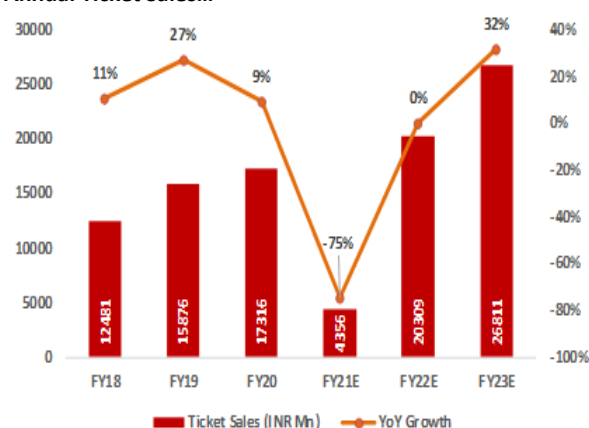
Ad revenue for PVR has grown at a CAGR of 16% between FY16 and FY20 respectively and has contributed ~11-13% to consolidated revenues over the last 5 years. Acquisition of SPI cinemas have been accretive to FY19-20 ad revenue growth as it has the highest occupancy ratio in the South at 51% for 9MFY20 and thus the highest eyeball reach. Going ahead, we believe that Ad Revenue will grow at a relatively lower rate of 8% CAGR between FY20 and FY23e due to the COVID pandemic and resultant impacted footfalls and eyeball reach. The COVID pandemic has not only impacted overall ad spend globally but also caused a shift in the medium of advertising to digital / mobile.

Lastly, we believe that some sort of normalcy will start creeping in from FY23e only as footfalls and occupancy rates begin to normalize, in turn attracting advertiser back to in-cinema advertising.

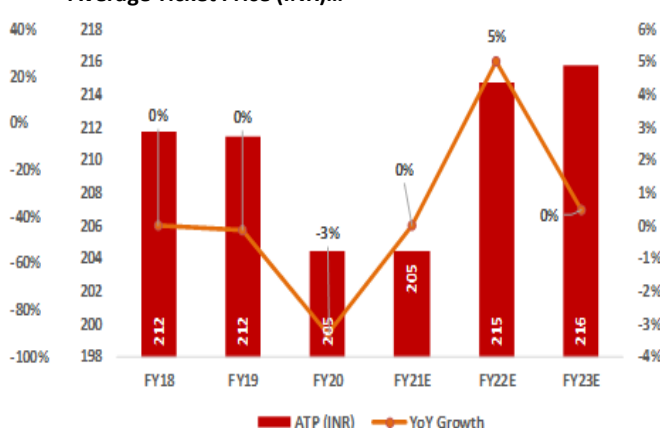
Ticket Sales – Expect Ticket Sales to pick up from Q1FY22

PVR

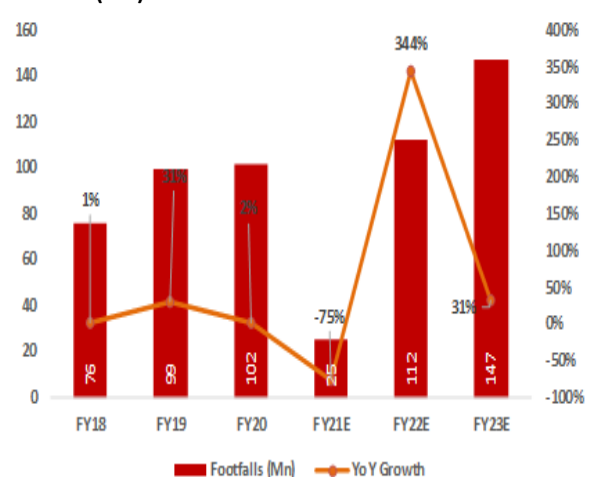
Annual Ticket Sales...



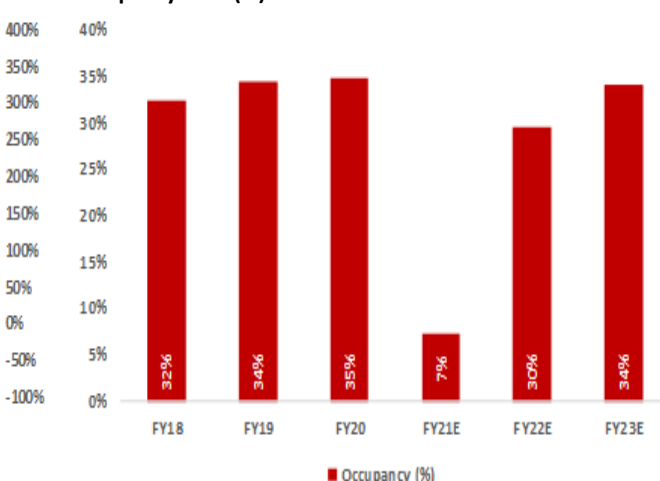
Average Ticket Price (INR)...



Footfalls (Mn)...



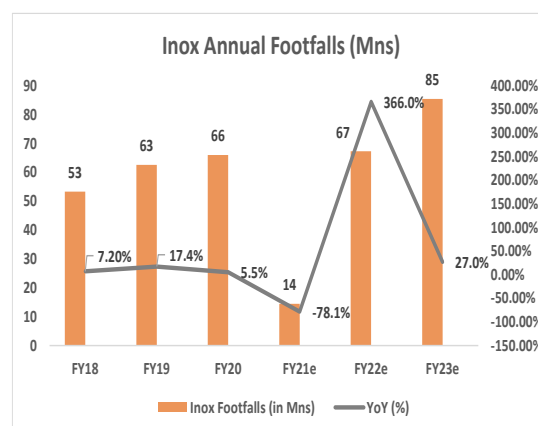
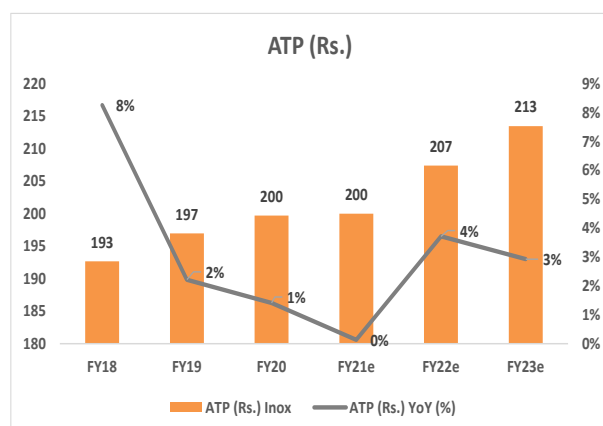
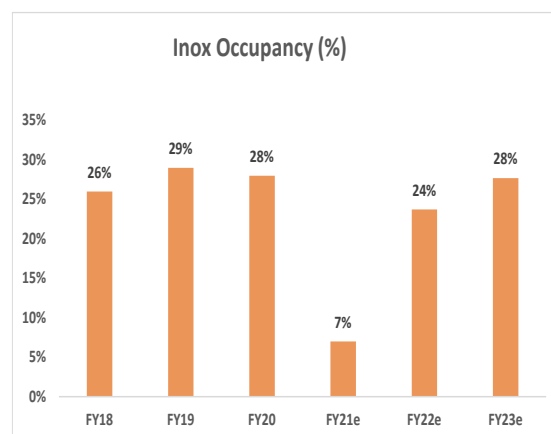
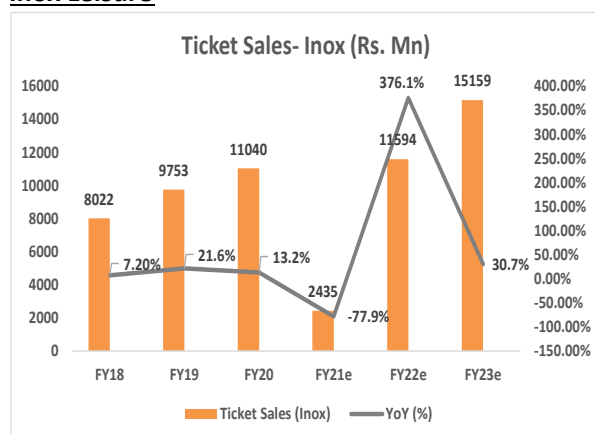
Occupancy Rate (%)...



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- **Ticket Sales** to grow at CAGR of 15.7% between FY20 and FY23e

Inox Leisure



Ticket Sales is the highest revenue contributing stream for both Inox & PVR at ~58%. Ticket sales for Inox has grown at a CAGR of 17.3% between FY18-20 despite March 2020 being a washout month due to the enforcement of the lockdown on account of Covid-19.

As seen in the chart on the top left, FY21e is expected to be a washout year owing to theatres currently remaining shut (in the most recent notification by the government, at-least till September 30th, 2020) with some recoveries expected in H2FY21, but the exact amount is completely dependent on government guidelines, regulations and timing as part of the unlock process.

Due to the current extended period of temporary closure of theatres, several producers have decided to release their films on OTT platforms after having delayed their theatrical release by a couple of months earlier. Gulabo Sitabo, Shakuntala Devi, Sadak 2, Tanhaji, Dil Bechara, Kudha Hafiz, Gunjan Saxena and Laxmmi Bomb are some examples of films releasing on OTT. Majority of the producers have decided to postpone their releases towards end of CY 2020 or early 2021 when theatres are expected to open coupled with a potential announcement of a vaccine. Movies under



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the Marvel Banner, Sooryanvashi, 83 are part of the postponement and which are also deemed "Blockbusters" at the Box office. ***It is definitely in agreement, that currently a theatrical release is the most profitable course for any film and producer and we believe this will continue to remain as such in the longer term, with some temporary headwinds due to closures.***

As seen in the top left graph on the previous page, we have expected recoveries to be at pre-Covid levels by end of FY22e (revenue of Rs. 11594mn in FY22e and revenue of Rs. 11040mn in FY20) on expectations of pent up content which is ready for release and for films which were in different stages of production in CY2020 but was delayed due to the pandemic and is only expected to be completed at a later stage. ***Ticket sales is growing at CAGR of 11.1% between FY20-23.***

PVR's occupancy has been higher at 30% and above historically and recording its highest level at 36% in 9MFY20 before the pandemic impacted the business for both exhibitors. Inox as seen in the chart above, has occupancy levels ranging between 25%-29% historically between FY15-FY20.

The Multiplex Association of India (MAI) which includes PVR, Inox, Carnival cinemas and other exhibitors have collectively submitted a proposal for business restart once government allows theatres to open. In the proposal, it is mentioned that they would leave 1 seat empty after each specific booking as they believe there is less chance of virus transmission between close Family and friends. This will result in Exhibitors losing ~25% capacity post re-opening. The Government of India still has to accept or counter the proposal.

We believe post re-opening, there will be a gradual recovery in business as early on, consumers will be fearful to step out and in such a scenario "Word of Mouth" will play a key role. Furthermore, new content release will only take place from November end, December onwards, impacting majority of business in Q3FY21e. As such, for Inox, occupancy for FY21e drops significantly but recovers majorly in FY22e at 24% as seen in the graph above and conservatively, reaches original levels of 28% by FY23e.

A Lower occupancy (%) converts into lower footfalls for the exhibitor and as such drops to about 14mn (H1FY21 with zero footfalls), but recovers sharply in FY22e back to its normal levels of footfalls at 67mn owing to more and better content releases and a potential announcement and mass distribution of a vaccine. Footfalls for Inox has grown at a CAGR of 11.3% between FY18-20 and it is expected to increase at 9% between FY20-23e.

Average Ticket Price (ATP), for the company remains flat at Rs. 200 for FY21e as we believe, company will not reduce prices early on recoveries earlier will be impactful in terms of cashflows for future sustenance and expansion. Historically, the gap between the ATP of PVR and Inox has reduced from Rs. 13 in FY15 to Rs. 4 in FY20. This was led by Inox expanding its premium screen portfolio and introducing the new concept of "Megaplexes" which is explained earlier. Going forward, we believe this trend to continue with Inox's ATP rising to Rs. 207 & 213 respectively in FY22e and FY23e (see



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bottom left chart on the earlier page) whereas for PVR, the ATP will be Rs. 215 and Rs. 216 respectively making the difference Rs. 8 and Rs. 3 in FY22e and FY23e.

OTT release provide a temporary relief in the current pandemic as they cannot match Box Office Collections

With the release of several movies on OTT platforms, there is a justified debate that will OTT platforms become the new normal for premieres in the long run? We believe that this is merely a temporary phenomenon due to following factors:

1. OTT platforms cannot match the kind of collections that a Box Office release can garner, and an OTT release also caps the revenue for a producer. For example, Gunjan Saxena and Gulabo Sitabo both were released on OTT platforms and garnered INR 60 Cr and INR 65 Cr respectively, however, collections were incomparable to Uri or Kabir Singh which garnered INR 250 Cr and INR 379 respectively

- a. Gunjan Saxena was made with a budget of INR 40 Cr and premier rights sold to Netflix for INR 50 Cr + INR 10 Cr for audio and satellite rights (paid to Zee Studios and Dharma Productions)²
- b. Gulabo Sitabo was sold to Amazon Prime for INR 65 Cr

2. OTT platforms cannot replace or replicate the cinema going experience of a Movie Theatre. We believe that Cinema has become a part of the Indian lifestyle in terms of “family’s day out” experience and/or “blow-off some steam”.

3. Compared to western economies, the Indian consumer has limited avenues to blow-off the steam. For example, developed markets have more adventure sports or activities as substitutes in their lifestyles compared to an Indian consumer. Higher working hours, relatively faster lifestyle (at least in the metro cities) and comparatively lower GDP per capita means that the Indian consumer looks to relax or pullback in a shorter time period and the only avenues are Restaurants, Bars, Malls or Movies in our opinion. Therefore, the typical Indian consumer is bound to return slowly to theatres as lockdowns open gradually and flood in numbers once the vaccine is launched.

4. Taking a contrary view, COVID-19 pandemic can in fact aid multiplexes as single screen theatres come under financial stress due to inoperability. We believe that multiplexes are much better equipped in the survival of the fittest due to corporatized and professionalized nature of their business and hence access to capital vis-à-vis single screen theatres. Therefore, we believe that we will see the share of multiplex to single screen theatre shift towards multiplexes during the pandemic. For example, Central Plaza – Girgaun (which was a Main Cinema in the pre-Multiplex era) had to shut shop in the COVID pandemic.



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We believe OTT and Exhibitors to co-exist with content specifically made for both streams along with sharing of content i.e. in a post Covid world, a movie will have a theatrical release first, followed by either a satellite or OTT platform.

Response to Theatres opening-up globally and performance of current blockbusters

Daily Covid-19 cases in several countries have peaked, particularly outside Asia, and many countries have re-opened theatres and cinema halls as part of the unlock process.

Country	Status
USA	Indoor theatres open in more than 40 States. Closes in Arizona, California, New Jersey & NY
UK	Odeon opened on 4 th July. Vue & Cineworld opened on 31 st Jul. Masks mandatory from 8 th Aug
UAE	Cinemas operating at 30% capacities
China	156,500 moviegoers flocked cinemas on first day of reopening. 50% screens operational
Korea	The film Peninsula aka Traintobusan2 broke all Records and sold 1.8 Mn Tkts
Australia	Government will offer \$280 Mn to attract foreign film productions
Thailand	Cinemas have opened with restricted norms
Germany	Cinema association, has called for a reduction to the 1.5M social distancing measures
France	8.5 Lakh tickets sold in first 5 days, but attendance declining
Malaysia	Peninsula makes \$4.1 million. First drive-in cinema has come up in Perak
Singapore	The film Peninsula continues to remain a top drawer for two weekends
Italy	Venice International Film Festival will run from Sept. 2 to 12

Source: Inox Leisure Q1FY21 Presentation

As seen above, movies such as Penninsula released in multiple countries where the initial response was good considering the situation, but did dry up after a week. Currently, two of the biggest **potential blockbusters in Hollywood** namely, "Tennet" and X-Men spin off "The new Mutants" had a **theatrical release** over the weekend in several international markets such as Most of Europe, South Korea and Canada. Tennet collected approximately \$53 million in the opening weekend across 41 overseas markets with "IMAX" collection \$5mn alone. Tennet had a overall budget of approximately \$200mn and given the current situation, the film collecting 25% of the budget in the opening weekend itself re-iterates our belief that willingness to go watch good content in theatres and demand for good content is absolute. The film is yet to debut (expected in the 1st week of September) in China and U.S, which are the two biggest markets and where cumulatively about 60% of the screens have re-opened.

The New Mutants, also released with tepid reviews (delayed release since April 2018) and has garnered close to \$10mn after being release in United States first and then globally. Domestic

collections for the film were \$7.7mn during the opening weekend. The overall budget of the film is close to \$67mn.

Another Disney movie titled "Mulan" will be released theatrically in Q4CY20, and be available approximately a month after its theatrical release on their home OTT Platform Disney+.



There is generally a 6-7-week window post a theatrical release when a movie is showcased on either satellite or OTT platforms. Considering the current situation, that window might have shortened but since more and more theatres are opening, distributors would be willing to release it in newer



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geographies as and when they are able to, which can bode well for India as these potential “Blockbusters” would give a good kickstart to cater to the pent up demand as well as meet the excitement of viewing new content in theatres after 5 months of lockdown.

Fund raising and survivability

PVR had Rs. 2.27bn of Cash on books (Cash & Bank stood at Rs.3.16bn as of Q4FY20). PVR also raised Rs. 3bn through Rights Issue by offering 38,23,872 equity shares at INR 784 per share on 10/07/2020 (ratio of 7 for every 94 shares). Objects of the rights issue were to repay principal and/or prepay interest to the tune of Rs. 2.34bn and use Rs.725mn towards General Corporate Purposes. Lastly, the main purpose of the Rights Issue is to ensure liquidity till the financial year end at least. Their Gross debt stands at Rs. 12.94bn. ***PVR’s monthly cash burn rate as per their Q4FY20 results and conference call was reduced by 75% to Rs. 350mn.***

Inox on the other hand has reduced their monthly cash burn rate to Rs. 120-130mn from Rs. 300-350mn earlier. Furthermore, they have cash and bank balance of Rs. 360mn as of 31st July, 2020 and the company has sold treasury shares worth Rs. 1bn in mid-August. In addition to this, the company has also got final approval from the board to raise another Rs. 2.5bn through equity or any other means favourable to a shareholder if necessary and lastly, they own 6 cinema properties and a head office which at market valuation is Rs. 3.5bn. As of 31st July, 2020, the company’s net debt stands at Rs. 1.78bn. Taking into account only the cash and bank, treasury shares and the potential capital raise, Inox has about 1 year of funding to survive even without any revenues flowing into the company.

Movie Exhibition: Inox Leisure & PVR

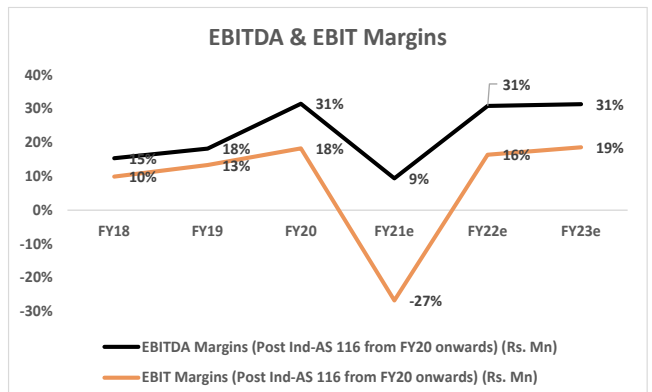
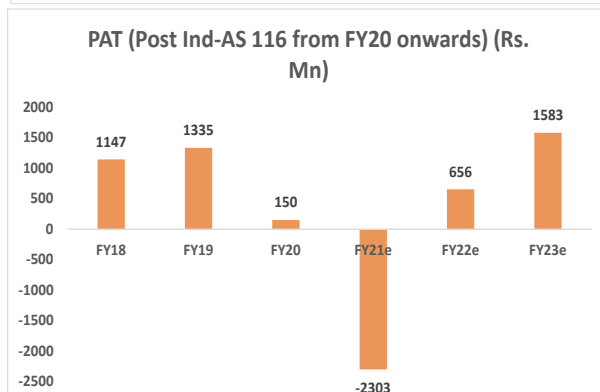
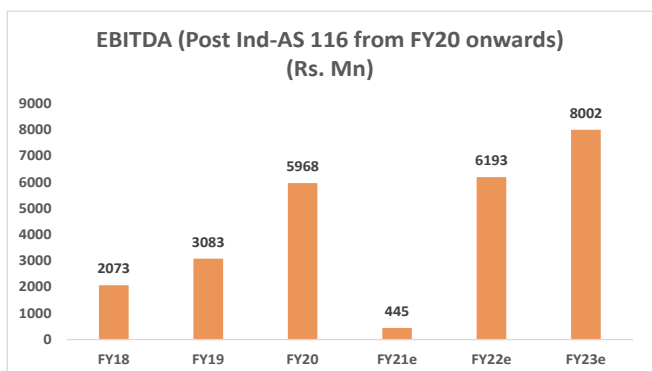
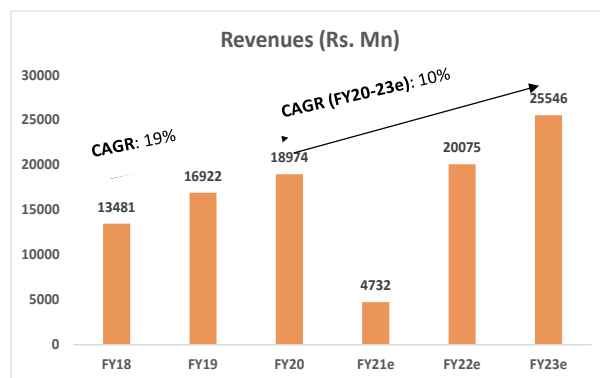
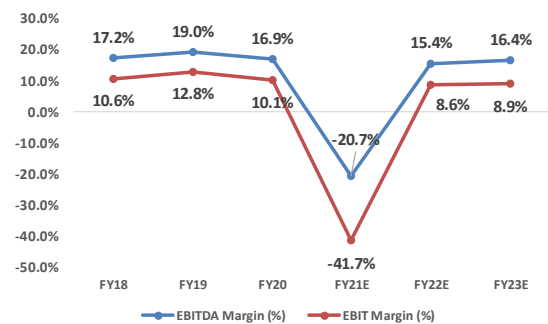
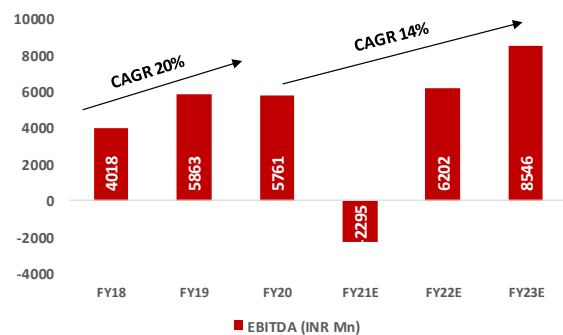
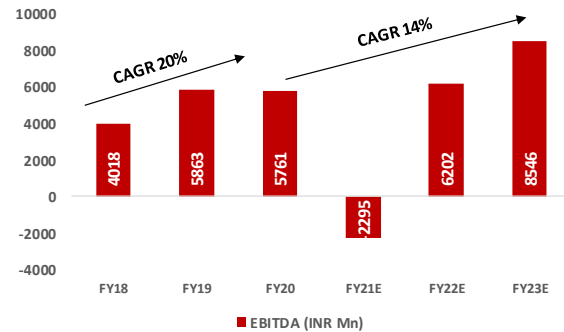
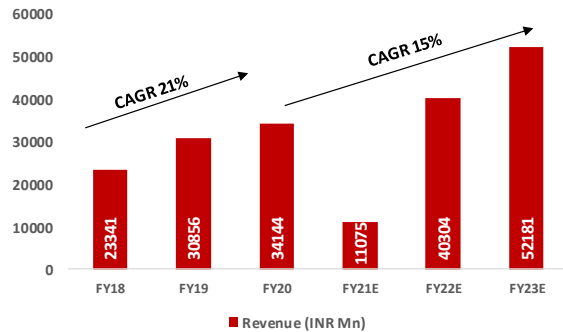
September 2, 2020



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Financials of PVR (in INR Mn) (Top Half) & Inox Leisure (In INR Mn) (Bottom Half)





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Outlook

We believe both companies have enough capital to survive for the next few months even without revenues coming in and it is only a matter of time before government allows theatres to re-open. This being said, it is prudent to note that currently any guideline on re-opening of theatres, operational timings, seating arrangement and capacity, if the re-opening will take place nationwide or only state-wise (depending on the number of active cases and recovery rates in each state) is currently unknown.

There are several developments in the race to find the vaccine for COVID-19 with Russia being the first to announce its discovery by 10/08/2020 and Serum Institute of India (Pune) in association with Oxford University is also in the 3rd stage of clinical trials as of date. Assuming that either of the vaccines are successful, we believe that Movie Exhibition stocks will be first to react and factor in the positive news and revert to pre-COVID levels followed by quick recovery in earnings post mass release of the vaccine.

However, if the above-mentioned vaccines fail and lower visibility of a successful vaccine in the near term, we believe that Cinemas will be allowed to open with severe restrictions (like other countries globally + in line with current debate between exhibitors which are pushing for 50% capacity and Government which is pushing for 30% capacity). We believe that earnings recovery and stock recovery will be a very gradual and slow process under this scenario. This is mainly because occupancy rates will suffer due to social distancing and seating restrictions therein and fear will play out as a highly discouraging factor amongst cinema goers which will result in Exhibitors struggling to break-even initially followed up by gradual scaling up of profits after making cost rationalizations (on rent, CAM and employee costs) as cinemas adjust to new normal.

In Conclusion, from a long term perspective, we believe that PVR and Inox are a BUY as despite recent launch of movies on OTT platforms, we believe that these releases have failed to garner the interest, eyeballs or collections that a theatrical releases would and that exhibitors will adapt in any scenario that plays out.

Valuation

Currently, on EV/EBITDA basis, **PVR** is trading at 13.3x and 9.2x FY22e and FY23e on an EBITDA of INR 6,201.7 Mn and INR 8546 Mn, respectively. **We assign an EV/EBITDA multiple of 12x to FY23e EBITDA and arrive at a target price of Rs. 1804 (upside of 29%).**

Inox on EV/EBITDA basis, is trading at 9.8x and 8x FY22e and FY23e EBITDA of INR 6,192.5mn and INR 8,002.4 Mn respectively. **Please note Inox's numbers are on Post IND-AS 116 whereas PVR is on Pre-Ind-AS 116 basis. We value Inox on EV/EBITDA basis, assigning a 9.5x (~25% discount to PVR's multiple on account of higher screen count, and stronghold in South through SPI Cinemas (highest**



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occupancy rates of over 50%)), to FY23e EBITDA and arrive at a target price of Rs. 398 i.e. upside of 37%.

We initiate coverage on PVR and Inox leisure and recommend investors to BUY the stock with a long-term horizon (minimum of 18-24 months) and point out that market and exhibition stocks may display volatility depending on the rise and fall of COVID infections, recoveries, lockdowns etc. However, any sort of big dip in these stocks should be considered as a buying opportunity.

Valuation Table

Particulars	PVR	Inox
Financials (Rs. Mn)	FY23e	FY23e
EBITDA	8546	8002
Multiple (x)	12	9.5
EV	102552	76023
Gross Debt	9800	35715
Cash	495	503
Market Value	93247	40811
per share	1804	398
CMP	1400	290
Upside	29%	37%

Please Note: Gross Debt of Inox optically looks large in number but in reality, it is on account of IND-AS 116. Due to the accounting change, EBITDA margins of the company increases to ~31% and in valuation, to negate the effect of the rise in margins, we have included expected Lease Liability of Rs. 35289mn in FY23e.



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PVR Financials (INR Mn)

Profit & Loss A/c					
YE March (Rs. mn)	FY19	FY20	FY21F	FY22F	FY23F
Total Revenue	30856	34144	11075	40304	52181
Growth %	32%	11%	-68%	264%	29%
Less:					
Film Distributors Share	7019	7335	1869	8713	11502
F&B cost	2387	2637	681	3032	4181
Employee cost	3373	3938	2897	3927	5821
Rent	5059	5763	2720	6991	8176
Other expenses	7154	8711	5204	11440	13955
Total Operating Expenditure	24992	28383	13369	34102	43635
EBIDTA	5863	5762	-2295	6202	8546
Growth %	46%	-2%	-140%	-370%	38%
EBITDA Margin (%)	19%	17%	-21%	15%	16%
Less: Depreciation	1912.8	2324.2	2321	2735	3909
EBIT	3951	3437	-4615	3467	4637
EBIT Margin	13%	10%	-42%	9%	9%
Growth %	59%	-13%	-234%	-175%	34%
Interest Paid	1280.1	1521.4	1477	1442	1407
Non-operating Income	331.4	377.9	424.8	400.0	400.0
Exceptional Items	-	-	-	-	-
Profit Before Tax	3002	2294	-5668	2425	3630
Adjusted PBT	3002	2294	-5668	2425	3630
Tax	1096.6	627.4	0	736	915
Profit/(Loss) from JV	-12	-5	-52	-52	-52
Net Profit	1894	1661	-5720	1637	2663
Adjusted Profit	1894	1661	-5720	1637	2663
Growth %	51%	-12%	-444%	-129%	63%
Net Profit Margin (%)	6%	5%	-52%	4%	5%
Reported Diluted EPS Rs	39.3	32.6	-109.5	32.7	52.6
Growth %	47%	-17%	-436%	-130%	61%
Adjusted Diluted EPS Rs	39.3	32.6	-109.5	32.7	52.6

Free Cash Flow to Firm Statement					
YE March (Rs. Mn)	FY19	FY20	FY21E	FY22E	FY23E
EBITDA	13017	14472	2909	17642	22501
FC Investment	-13869	-3420	-1200	-4600	-5350
WC Changes	4664	28	-2810	7877	2429
Depreciation Tax Shield	699	636	0	830	985
Tax Expenses	-4755	-3958	0	-5357	-5670
FCFF	-244	7758	-1101	16393	14895

Valuation Ratios					
YE March (Rs. mn)	FY19	FY20	FY21F	FY22F	FY23F
P/E (x)	35.6	43.2	-12.7	44.1	27.1
P/BV (x)	5.3	5.1	6.5	7.4	5.9
EV/EBIDTA (x)	13.1	14.3	-36.0	13.3	9.6
EV/Sales	2.5	2.4	7.5	2.0	1.6
Market Cap./ Sales (x)	2.1	2.1	6.5	1.8	1.4
Dividend Yield (%)	0%	0%	0%	0%	0%

Ratio Analysis					
YE March (Rs. mn)	FY19	FY20	FY21F	FY22F	FY23F
RoE (%)	15.9%	12.6%	-45.4%	16.8%	21.6%
RoCE (%)	18.0%	12.8%	-18.0%	14.8%	19.6%
Current Ratio (x)	0.3	0.3	0.1	0.2	0.3
Dividend Payout (%)	6%	7%	0%	8%	5%
Interest Coverage (x)	3.1	2.3	-3.1	2.4	3.3
Debt to Equity Ratio	0.8	0.7	0.7	0.8	0.7

Balance Sheet					
Year to December	FY19	FY20F	FY21F	FY22F	FY23F
ASSETS					
Current Assets					
Cash in hand and at banks	352	375	121	342	476
Accounts receivable	1,839	1,590	455	1,877	3,288
Inventories	303	290	61	342	443
Total Current Assets	3,934	3,565	1,001	4,108	6,494
Non-current Assets					
Gross Block	20,056	23,476	24,676	29,276	34,626
Less Depreciation	5,157	7,487	9,808	12,542	16,451
Net Block	14,900	15,989	14,869	16,734	18,175
Capital Work in progress	2,208	2,208	1,100	1,100	1,100
Investments	100	100	100	100	100
Total non-current assets	21,578	22,507	16,675	22,902	27,237
TOTAL ASSETS	25,512	26,071	17,676	27,010	33,732
LIABILITIES AND EQUITY					
Current liabilities					
Trade & notes payable	7,287	8,419	3,944	9,496	11,437
Advance money from customer	1,850	131	981	2,638	4,663
Total Current Liabilities	11,713	11,350	6,230	16,993	21,675
Noncurrent liabilities					
Secured Loans	11,461	10,800	10,300	10,300	9,800
Total noncurrent liabilities	11,461	10,800	10,300	10,300	9,800
TOTAL LIABILITIES	23,174	22,150	16,530	27,293	31,475
Goodwill	13,108	13,108	13,108	13,108	13,108
Minority Interest	2,566	2,562	2,557	2,552	2,547
SHAREHOLDERS' EQUITY					
Share Capital	467	513	517	517	517
Share Premium			2,941		
Retained Earnings	11,928	13,470	7,755	9,272	11,816
Total Shareholders' Equity	12,395	13,983	11,213	9,789	12,333

Cash Flow Statement					
YE March (Rs. Mn)	FY19	FY20	FY21E	FY22E	FY23E
PAT	1836	1676	-5715	1641	2668
Add: Depreciation	1913	2324	2321	2735	3909
Add: Interest Paid	1280	1521	1477	1442	1407
Operating Profit before WC Changes	5418	5895	-1497	6213	8379
(Inc)/Dec in Current Assets	-837	378	2081	-2604	-2152
Inc/(Dec) in Current Liabilities	5606	-363	-5120	10762	4683
Changes in Inventory	-105	13	229	-282	-101
Net Cash Generated From Operations	10082	5924	-4307	14090	10809
Cash Flow from Investing Activities					
(Inc)/Dec in Fixed Assets	-5543	-3414	-1200	-4600	-5350
(Inc)/Dec in Investment (Others)	-1130	161	3603	-4362	-2894
Net Cash Flow from Investing Activities	-15855	-2880	3931	-8567	-7849
Cash Flow from Financing Activities					
Inc/(Dec) in Total Loans	4847	-661	-500	0	-500
Inc/(Dec) in Equity	-83	46	2945	-2941	0
Dividend Paid	-94	-103	0	-103	-103
Less: Interest Paid	-1280	-1521	-1477	-1442	-1407
Net Cash Flow from Financing Activities	5787	-3022	123	-5302	-2826
Net Inc/Dec in cash equivalents	14	23	-253	221	134
Opening Balance	339	352	375	121	342
Closing Cash and Cash Equivalents	352	375	121	343	476



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Inox Financials (Rs. Mn)

InoxLeisure													
P&L (Rs mn)	FY18	FY19	FY20	FY21E	FY22E	FY23E	Cash Flow St. (Rs. mn)	FY18	FY19	FY20	FY21E	FY22E	FY23E
Net Sales	13,481.2	16,921.8	18,974.4	4,732.1	20,074.7	25,546.1	Net Profit	1,146.6	1,334.9	150.1	(2,302.8)	656.0	1,583.5
Expenses	11,407.7	13,838.4	13,006.0	4,286.9	13,882.1	17,543.7	Add: Dep. & Amort.	867.0	954.9	2,641.9	1,912.5	3,026.1	3,375.5
Operating Profit	2,073.5	3,083.4	5,968.4	445.2	6,192.5	8,002.4	Minority Interest	-	-	-	-	-	-
Depreciation	867.0	954.9	2,641.9	1,912.5	3,026.1	3,375.5	Cash profits	2,013.6	2,289.8	2,792.0	(390.3)	3,682.1	4,959.0
PBIT	1,206.5	2,128.5	3,326.5	(1,467.2)	3,166.4	4,626.9	(Inc)/Dec in						
Other income	144.7	149.2	171.7	157.7	153.7	147.7	-Sundry debtors	(293.0)	(123.3)	254.9	303.4	(335.9)	(179.9)
Interest	289.0	236.7	2,212.4	1,236.0	2,443.1	2,657.6	-Inventories	(3.1)	(27.9)	(14.6)	94.4	(106.1)	(49.4)
Profit before tax	1,062.2	2,041.0	1,285.8	(2,545.6)	877.0	2,117.0	-Loans/advances	(66.6)	(143.2)	(160.8)	(50.8)	(111.1)	(122.0)
Exceptional and Extra Ordinary Items	85.4	50.0	-	-	-	-	-Current Liab and Provisions	612.5	718.1	(262.9)	(968.5)	1,114.4	460.3
share of profit/loss in JV	-	-	-	-	-	-	- Other Assets	(43.4)	(417.4)	472.4	173.3	(151.9)	(167.1)
PBT (Post Extra Ordinary)	976.8	1,991.0	1,285.8	(2,545.6)	877.0	2,117.0	Change in working capital	206.5	6.3	289.0	(448.2)	409.4	(58.1)
Provision for tax	(169.9)	656.1	1,135.7	(242.8)	221.0	533.5	CF from Oper. activities	2,220.1	2,296.1	3,081.0	(838.5)	4,091.5	4,900.9
Reported PAT	1,146.6	1,334.9	150.1	(2,302.8)	656.0	1,583.5	CF from Inv. activities	(1,488.1)	(2,435.5)	1,553.7	(47.9)	(3,128.7)	(4,447.8)
Balance Sheet	FY18	FY19	FY20	FY21E	FY22E	FY23E	CF from Fin. activities	(714.2)	126.4	(4,325.1)	726.7	(900.0)	(300.0)
Equity capital	961.6	1,026.1	1,026.5	1,026.5	1,026.5	1,026.5	Cash generated/(utilised)	17.8	(13.0)	309.6	(159.7)	62.8	153.0
Reserves	5,734.5	8,612.0	5,192.3	3,216.2	3,872.2	5,455.7	Cash at start of the year	279.9	150.3	137.3	446.9	287.2	350.0
Net worth	6,696.2	9,638.1	6,218.8	4,242.7	4,898.7	6,482.2	Cash at end of the year	150.3	137.3	446.9	287.2	350.0	503.0
Minority Interest	0.1	0.1	0.1	0.1	0.1	0.1	Ratios	FY18	FY19	FY20	FY21E	FY22E	FY23E
Non Current Liabilities	3,412.9	1,456.7	27,040.6	28,777.6	31,407.8	35,545.2	OPM	15.4	18.2	31.5	9.4	30.8	31.3
Current Liabilities	2,741.0	3,693.9	4,894.6	4,329.5	4,604.9	4,866.2	NPM	8.5	7.9	0.8	(48.7)	3.3	6.2
CAPITAL EMPLOYED	12,850.1	14,788.7	38,154.0	37,349.9	40,911.4	46,893.6	Tax rate	(16.0)	32.1	88.3	9.5	25.2	25.2
Non Current Assets	11,415.6	13,274.8	36,411.4	36,121.7	39,126.7	44,669.9	Growth Ratios (%)						
Fixed Assets	8,082.0	9,686.4	32,109.8	31,985.6	34,779.4	40,090.1	Net Sales	4,008.9	25.5	12.1	(75.1)	324.2	27.3
Non Current Investments	12.1	6.1	1.6	1.6	1.6	1.6	Operating Profit	(147.6)	48.7	93.6	NA	NA	29.2
Non Current tax assets (DTA+ITA)	902.5	616.3	1,846.5	1,846.5	1,846.5	1,846.5	PBIT	(127.7)	76.4	56.3	NA	NA	141.4
Long Term Loans and Advances	741.8	892.2	1,016.4	1,067.2	1,173.9	1,291.3	PAT	275.0	16.4	(88.8)	NA	NA	141.4
Other NON Current Assets	1,502.1	1,898.7	1,262.0	1,045.7	1,150.2	1,265.2	Per Share (Rs.)						
Goodwill	175.1	175.1	175.1	175.1	175.1	175.1	Net Earnings (EPS)	11.92	13.01	1.46	-22.43	6.39	15.43
Current Assets	1,434.5	1,513.9	1,742.6	1,228.2	1,784.7	2,223.7	Cash Earnings (CPS)	20.9	22.3	27.2	(3.8)	35.9	48.3
Current investments	123.9	6.1	10.1	10.1	10.1	10.1	Dividend	-	1.0	-	-	-	-
Inventories	94.0	121.9	136.5	42.1	148.2	197.6	Book Value	69.6	93.9	60.6	41.3	47.7	63.1
Trade Receivables	759.1	882.4	627.5	324.1	660.0	839.9	Free Cash Flow	7.6	(1.4)	45.2	(8.6)	9.4	4.4
Cash and Bank Balances	150.3	137.3	446.9	287.2	350.0	503.0	Valuation Ratios						
Short Term Loans and Advances	59.0	51.8	88.4	88.4	92.8	97.5	P/E(x)	24.3	22.3	198.3	(12.9)	45.4	18.8
Other Current Assets	248.2	314.4	433.2	476.3	523.6	575.7	P/B(x)	4.2	3.1	4.8	7.0	6.1	4.6
							EV/EBITDA(x)	14.6	9.8	9.6	133.6	9.9	8.1
							Div. Yield(%)	-	0.3	-	-	-	-
							FCF Yield(%)	2.6	(0.5)	15.6	(3.0)	3.2	1.5
							Return Ratios (%)						
							ROE	17	14	2	-54	13	24
							ROCE	15	22	47	-22	59	69

Movie Exhibition: Inox Leisure & PVR

September 2, 2020



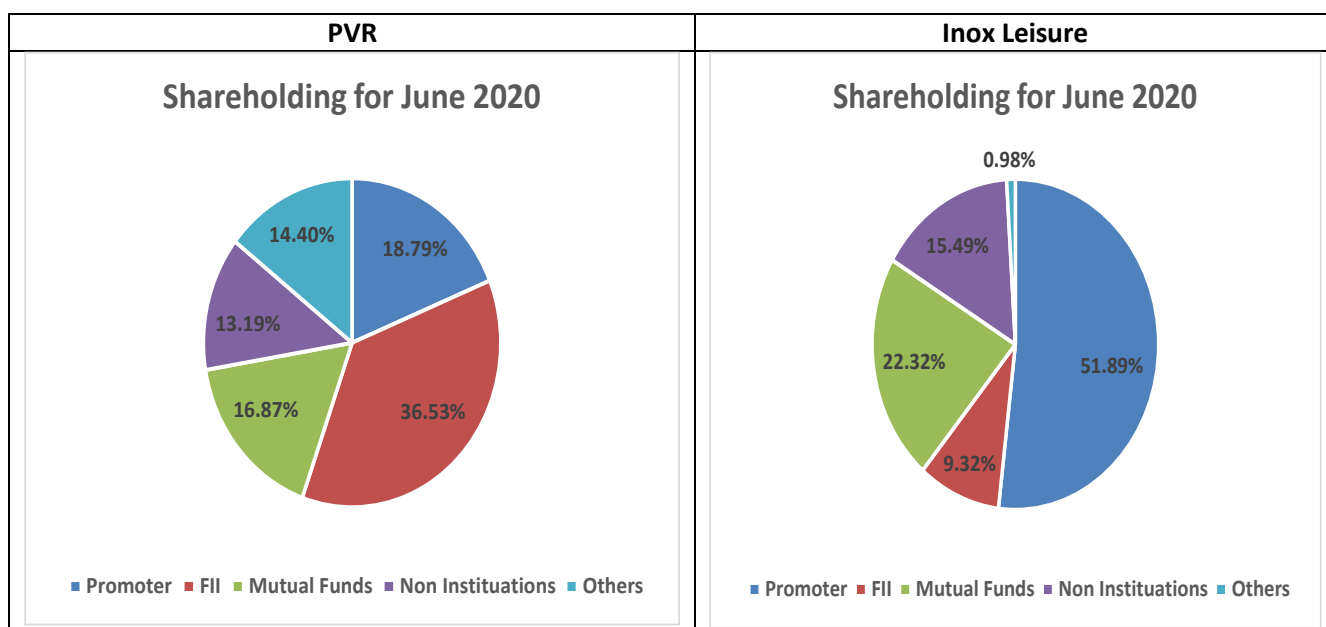
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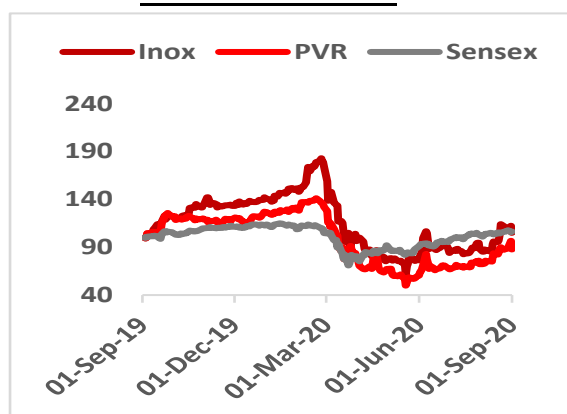
Company Information

Particulars	PVR	Inox Leisure
CMP	1400	290
Market Cap (Rs. Bn)	77.58	29.84
Market Cap (\$ Mn)	1063	409
Number of Shares (Mn)	51.70	102.85
Face Value (Rs.)	10	10
Average Volume (BSE+NSE) (000's)	2493	1813
BSE Code	532689	532706
NSE Code	PVR	INOXLEISUR
Bloomberg Code	PVRL: IN	INOL: IN

Shareholding Pattern



Share Price Data





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